

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 942

BY APPROPRIATIONS COMMITTEE

AN ACT

RELATING TO THE APPROPRIATION FROM THE IDAHO MILLENNIUM INCOME FUND FOR FISCAL YEAR 2027; DIRECTING THE USES OF THE IDAHO MILLENNIUM INCOME FUND; APPROPRIATING ADDITIONAL MONEYS FOR COMMUNITY-BASED RECOVERY CENTERS; PROVIDING FOR OVERSIGHT FOR MONEYS PROVIDED TO COMMUNITY-BASED RECOVERY CENTERS; PROVIDING CRITERIA TO ESTABLISH NEW COMMUNITY-BASED RECOVERY CENTERS; CLARIFYING THE EXPENDITURE OF FUNDS FOR AFTER-SCHOOL PROGRAMS; APPROPRIATING ADDITIONAL MONEYS TO THE DEPARTMENT OF HEALTH AND WELFARE FOR THE IDAHO CHILDREN'S TRUST FUND FOR FISCAL YEAR 2027; APPROPRIATING ADDITIONAL MONEYS TO THE DEPARTMENT OF JUVENILE CORRECTIONS FOR YOUTH ASSESSMENT CENTERS FOR FISCAL YEAR 2027; APPROPRIATING ADDITIONAL MONEYS TO THE DEPARTMENT OF HEALTH AND WELFARE FOR THE IDAHO COUNCIL ON DOMESTIC VIOLENCE AND VICTIM ASSISTANCE FOR FISCAL YEAR 2027; APPROPRIATING ADDITIONAL MONEYS TO THE OFFICE OF DRUG POLICY FOR FISCAL YEAR 2027; CLARIFYING THE EXPENDITURE OF FUNDS FOR MEDICAID CLAIMS; APPROPRIATING ADDITIONAL MONEYS TO THE DEPARTMENT OF JUVENILE CORRECTIONS FOR STATEWIDE TRAINING AND COORDINATION FOR SCHOOL RESOURCE OFFICERS FOR FISCAL YEAR 2027; PROVIDING FOR CONDITIONS, LIMITATIONS, AND RESTRICTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. USES OF THE IDAHO MILLENNIUM INCOME FUND. The Joint Millennium Fund Committee, pursuant to Section 67-1808(6), Idaho Code, recommends that all moneys available for appropriation from the Idaho Millennium Income Fund beginning in fiscal year 2024 and each year thereafter be prioritized for programs that focus on prevention, cessation, and treatment related to tobacco, vape, alcohol, illegal substances, and other substances that may be abused beyond the intended uses and for the overall safety and well-being of Idaho youth. Funding should be prioritized first to programs that benefit Idahoans under 18 years of age and then for adults with higher risk factors for abusing or using various substances described in this section. It is the recommendation of the Joint Millennium Fund Committee that no moneys from the Idaho Millennium Income Fund be used for the payment of Medicaid claims. In accordance with the priorities of this section, any requested funds not already an ongoing appropriation in fiscal year 2027 shall be presented in the Legislative Budget Book as a request for new onetime appropriation in the Idaho Millennium Fund Program and in the respective agency budgets. Consistent with Section 67-1806, Idaho Code, the Joint Millennium Fund Committee shall be responsible for the official recommendation on the uses of the Idaho Millennium Income Fund.

SECTION 2. COMMUNITY-BASED RECOVERY CENTERS. In addition to any other appropriation provided by law, there is hereby appropriated to the Depart-

ment of Health and Welfare for the Substance Abuse Treatment and Prevention Program \$150,000 from the Idaho Millennium Income Fund for the period July 1, 2026, through June 30, 2027. Of the moneys appropriated to the Department of Health and Welfare for the Substance Abuse Treatment and Prevention Program from the Idaho Millennium Income Fund, no more than \$1,500,000 shall be distributed for the purpose of continued funding to eligible community-based recovery centers. "Community-based recovery center" means a not-for-profit organization with an oversight advisory board and a verifiable physical location where support services are provided to Idahoans at no cost or at very limited cost based on ability to pay, that operates at least 25 consistent hours each week, and that has sufficient square footage for walk-in visits and group activities for recovery support. Services provided may include peer-to-peer support, job training, recovery support to reduce substance use, recovery coaching, and references to other community-based recovery services. Funds shall be used by the community-based recovery centers to support the operations of the center, including but not limited to personnel costs, rent or lease expenses, basic supplies, and other operating costs. Community-based recovery centers shall provide to the Department of Health and Welfare a document that demonstrates operational and fiscal accountability for the center. Community-based recovery centers shall work in partnership with the Department of Health and Welfare and sign an attestation letter or equivalent document that ensures funds will be used in accordance with this section, with Section 3 of this act, and with any other applicable rule or law, and that all moneys received will be accounted for using generally accepted accounting principles. Funding is allocated for eligible centers for the cities of Boise, Caldwell or Nampa, Coeur d'Alene, Emmett, Idaho Falls, Kamiah, Lewiston, Moscow, Pocatello, and Twin Falls.

SECTION 3. COMMUNITY-BASED RECOVERY CENTERS OVERSIGHT. (1) The Department of Health and Welfare shall provide oversight for the funds appropriated in the fiscal year 2027 maintenance bill and in Section 2 of this act for community-based recovery centers. The Department of Health and Welfare shall:

(a) Provide four distributions of \$37,500 for a total distribution of \$150,000 to each eligible center. Distributions shall occur no later than July 15, 2026, October 15, 2026, January 15, 2027, and April 15, 2027;

(b) Receive and compile two reports from each center and transmit each report to the Budget and Policy Analysis Division of the Legislative Services Office on behalf of the Joint Millennium Fund Committee by December 30, 2026, and by June 30, 2027, or as soon thereafter as practicable. The format of the report and the content therein shall be developed by the department and approved by the Budget and Policy Analysis Division of the Legislative Services Office;

(c) Withhold or recover distributions pursuant to paragraph (a) of this subsection if the center is not operating or has indicated it intends to no longer operate prior to the close of the fiscal year, if it does not provide any of the required reports, or otherwise as needed to address legal or fiscal concerns regarding funds provided to a center. The department shall notify the center immediately with detailed informa-

tion on identified concerns and potential amounts subject to recovery. Amounts subject to withholding or recovery shall be based on the time frame in question; and

(d) Assist each center, as needed, to ensure services are being provided as intended by this act and to meet the needs of that local community.

(2) The Department of Health and Welfare shall not have the authority to directly manage any center or direct any center to perform functions not required in this section or Section 2 of this act. If the Department of Health and Welfare has reason to believe that appropriated funds are used in violation of this section or Section 2 of this act or any other rule or law, the department shall immediately notify the center in question, the Budget and Policy Analysis Division of the Legislative Services Office, and the Executive Office of the Governor of any misuse or perceived misuse of funds. The Department of Health and Welfare shall work collaboratively with such center and the Executive Office of the Governor to develop an appropriate corrective action plan. If funds were withheld pursuant to subsection (1) (c) of this section while a center made necessary adjustments according to the corrective action plan and the center continued operations according to the provisions of this act, then the department shall provide any withheld funding no later than 30 days after completion of the corrective action plan.

(3) Should any of the community-based recovery centers as defined in Section 2 of this act cease to operate or not be operational in accordance with the requirements of this section and Section 2 of this act within 30 days of any quarterly distribution date identified in this section, the State Controller, at the request of the Department of Health and Welfare, shall transfer any quarterly distribution moneys back to the Idaho Millennium Income Fund as soon as practicable. If a delay occurs as a result of action or inaction by the Department of Health and Welfare, funds shall be retained until such time that a payment can be made to an eligible center or it can be determined that a center will no longer be able to operate. A decision to no longer operate requires agreement from the identified center, the Department of Health and Welfare, and the Executive Office of the Governor. If a resolution is not reached by the end of the fiscal year, all moneys shall be returned to the Idaho Millennium Income Fund and adequate documentation shall be independently provided by the center and the Department of Health and Welfare to the Budget and Policy Analysis Division of the Legislative Services Office no later than 30 days after the end of the fiscal year documenting why a resolution could not be reached.

SECTION 4. ESTABLISHING A NEW COMMUNITY-BASED RECOVERY CENTER. (1) If any of the 10 cities identified in Section 2 of this act does not have an approved center by no later than 14 days after a payment date identified in Section 3 of this act and it does not appear that a previously existing center for that city will be operational with the conditions set forth in this act, the Department of Health and Welfare shall allow eligible organizations to apply through a competitive application process. The Department of Health and Welfare, a representative from that city's regional behavioral health board or representative from the Executive Office of the Governor if a regional behavioral health board is not operational, and a representative from

1 that city's regional public health district shall review each application
 2 and select the most qualified organization to operate a community-based re-
 3 covery center for that city. The Department of Health and Welfare shall im-
 4 mediately notify the Budget and Policy Analysis Division of the Legislative
 5 Services Office of the selected organization chosen to operate the center.
 6 Funds may be provided to a new center if it is selected and operational within
 7 45 days after a distribution date provided for in Section 3 of this act. If
 8 a center is not operational within 45 days, then funds related to that quar-
 9 terly distribution shall be transferred back to the Idaho Millennium Income
 10 Fund by the State Controller as soon as practicable at the request of the De-
 11 partment of Health and Welfare. Should a qualified applicant not be selected
 12 to operate the center, then all appropriated funds that are allocated for
 13 that center shall be transferred back to the Idaho Millennium Income Fund by
 14 the State Controller at the request of the Department of Health and Welfare
 15 no later than 30 days after the date identified for the fourth quarterly dis-
 16 tribution.

17 (2) If the Department of Health and Welfare has received interest to es-
 18 tablish an additional center or replace one of the current 10 regional cen-
 19 ters due to a lack of qualified options, the department shall make an offi-
 20 cial request to the Idaho Legislature by including an enhancement request in
 21 its fiscal year 2028 budget request submitted to the Legislature and the Gov-
 22 ernor. A formal presentation shall be made to the Joint Millennium Fund Com-
 23 mittee and, if needed, the Joint Finance-Appropriations Committee.

24 SECTION 5. AFTER-SCHOOL PROGRAMS. Of the moneys appropriated for the
 25 State Department of Education in the fiscal year 2027 maintenance bill
 26 for after-school programs, moneys distributed by the department shall be
 27 expended by a school district or public charter school for after-school
 28 programs that provide education on the prevention and cessation for the use
 29 of tobacco, alcohol, and other substances. All programs must comply with
 30 Section 33-201, Idaho Code, regarding age compliance for programs offered.

31 SECTION 6. IDAHO CHILDREN'S TRUST FUND. (1) In addition to any other
 32 appropriation provided by law, and consistent with Section 39-6008, Idaho
 33 Code, there is hereby appropriated to the Department of Health and Welfare
 34 for the Division of Youth Safety and Permanency \$692,200 from the Idaho Mil-
 35 lennium Income Fund to be expended for trustee and benefit payments for the
 36 Idaho Children's Trust Fund for the period July 1, 2026, through June 30,
 37 2027.

38 (2) Any moneys appropriated from the Idaho Millennium Income Fund to
 39 the Department of Health and Welfare for the Idaho Children's Trust Fund
 40 shall be considered a onetime appropriation with no expectation of future
 41 financial support.

42 (3) Funds are appropriated for the purpose of providing mid-size grants
 43 to community-based projects throughout Idaho. Use of moneys appropriated
 44 from the Idaho Millennium Income Fund by the Idaho Children's Trust Fund
 45 shall be consistent with Chapter 60, Title 39, Idaho Code. The Idaho Chil-
 46 dren's Trust Fund shall submit a proposed plan to the Idaho Department of
 47 Health and Welfare prior to providing any awards or distribution of funds,

1 outlining how the funds will be distributed and how oversight will be con-
2 ducted during the funding period.

3 (4) The Idaho Children's Trust Fund shall provide a semi-annual report
4 on the use of the funds. The reports shall be provided to the Budget and Pol-
5 icy Analysis Division of the Legislative Services Office and the Department
6 of Health and Welfare no later than December 30, 2026, and June 30, 2027.

7 SECTION 7. DEPARTMENT OF JUVENILE CORRECTIONS FOR YOUTH ASSESSMENT
8 CENTERS. (1) In addition to any other appropriation provided by law, there is
9 hereby appropriated to the Department of Juvenile Corrections for the Com-
10 munity, Operations, and Program Services Program \$1,000,000 from the Idaho
11 Millennium Income Fund to be expended for trustee and benefit payments to
12 youth assessment centers for the period July 1, 2026, through June 30, 2027.

13 (2) Any moneys appropriated from the Idaho Millennium Income Fund to
14 the Department of Juvenile Corrections for youth assessment centers shall be
15 considered a onetime appropriation with no expectation of future financial
16 support.

17 (3) In order for a youth assessment center to receive moneys from the
18 Idaho Millennium Income Fund, the center shall provide a detailed sustain-
19 ability plan that demonstrates how that center can remain operational with-
20 out reliance on state funds. Each plan shall include documentation stat-
21 ing financial commitments for ongoing financial support for the center. The
22 sustainability plan shall be submitted to the Department of Juvenile Cor-
23 rections and the Budget and Policy Analysis Division of the Legislative Ser-
24 vices Office prior to the Department of Juvenile Corrections distributing
25 any moneys.

26 (4) Funding shall be distributed to eligible youth assessment centers
27 based on criteria set forth by the Department of Juvenile Corrections. Fund-
28 ing for the period July 1, 2026, through June 30, 2027, shall be distributed
29 in two installments with the first distribution to occur no later than July
30 15, 2026, and the second distribution to occur no later than December 1,
31 2026. Funding determinations made by the Department of Juvenile Corrections
32 shall be considered final.

33 (5) Each youth assessment center that receives moneys from the Idaho
34 Millennium Income Fund shall sign an attestation letter or equivalent doc-
35 ument that demonstrates how distributed moneys will be used in accordance
36 with this section and with any other applicable rule or law, that confirms
37 that all moneys received will be accounted for using generally accepted
38 accounting principles, and that demonstrates how the center will maintain
39 operational and fiscal accountability throughout the year. This informa-
40 tion shall be provided to the Department of Juvenile Corrections and the
41 Budget and Policy Analysis Division of the Legislative Services Office prior
42 to the Department of Juvenile Corrections distributing any moneys. Each
43 center must maintain adequate records for revenue and expenditure verifica-
44 tion. If a center that receives moneys from the Idaho Millennium Income Fund
45 ceases operations between July 1, 2026, and June 30, 2027, that center shall
46 immediately notify the Department of Juvenile Corrections and the Budget and
47 Policy Analysis Division of the Legislative Services Office and shall return
48 all unexpended moneys to the Department of Juvenile Corrections as soon as
49 practicable.

1 (6) Each youth assessment center that receives moneys from the Idaho
2 Millennium Income Fund shall provide reports demonstrating the State's re-
3 turn on investment for moneys provided, including data-driven results on the
4 success of the center. A uniform report template shall be created by a coali-
5 tion of members that represent various youth assessment centers around the
6 state, and all centers shall submit reports according to the template. The
7 Idaho Safe Teen Assessment Center Coalition shall provide a semi-annual re-
8 port on the use of the funds. The reports shall be provided to the Budget and
9 Policy Analysis Division of the Legislative Services Office and the Depart-
10 ment of Juvenile Corrections no later than December 30, 2026, and June 30,
11 2027.

12 (7) If the Joint Millennium Fund Committee determines that an indepen-
13 dent audit is needed, then such an audit is required and will occur at the ex-
14 pense of the associated center.

15 SECTION 8. IDAHO COUNCIL ON DOMESTIC VIOLENCE AND VICTIM ASSISTANCE.

16 (1) In addition to any other appropriation provided by law, there is hereby
17 appropriated to the Department of Health and Welfare for the Council on Do-
18 mestic Violence and Victim Assistance \$3,000,000 from the Idaho Millennium
19 Income Fund to be expended for trustee and benefit payments for children's
20 advocacy centers.

21 (2) Any moneys appropriated from the Idaho Millennium Income Fund for
22 the Council on Domestic Violence and Victim Assistance shall be considered a
23 onetime appropriation with no expectation of future financial support.

24 (3) Funds are appropriated for the purpose of providing support for the
25 10 children's advocacy centers across the state. The Council on Domestic Vi-
26 olence and Victim Assistance shall submit a proposed plan to the Department
27 of Health and Welfare prior to fund dispersal, outlining how the funds will
28 be distributed and how oversight will be conducted during the funding pe-
29 riod.

30 (4) The Idaho Network of Children's Advocacy Centers shall provide a
31 semi-annual report on the use of the funds. The reports shall be provided to
32 the Budget and Policy Analysis Division of the Legislative Services Office
33 and the Department of Health and Welfare no later than December 30, 2026, and
34 June 30, 2027.

35 SECTION 9. OFFICE OF DRUG POLICY. (1) In addition to any other appro-
36 priation provided by law, there is hereby appropriated to the Office of Drug
37 Policy \$5,000,000 from the Idaho Millennium Income Fund to be expended for
38 operating expenditures for the period July 1, 2026, through June 30, 2027.

39 (2) Funds are appropriated for the purpose of conducting a statewide
40 drug awareness media campaign. The Office of Drug Policy shall identify a
41 suitable vendor through the state procurement process. The Joint Millennium
42 Fund Committee shall be provided an opportunity to review proposals, as well
43 as be consulted in the selection process.

44 (3) The Office of Drug Policy shall provide a semi-annual report on the
45 uses of the funds. The reports shall be provided to the Budget and Policy
46 Analysis Division of the Legislative Services Office no later than December
47 30, 2026, and June 30, 2027.

1 (4) A full report, including research, all data collected, and report-
2 ing metrics shall be presented by the Office of Drug Policy to the Joint Mil-
3 lennium Fund Committee following the conclusion of the statewide media cam-
4 paign.

5 SECTION 10. MEDICAID CLAIMS PAYMENTS. (1) Notwithstanding the recom-
6 mendation that no moneys be used for Medicaid claims as specified in Sec-
7 tion 1 of this act, should funds be appropriated from the Idaho Millennium
8 Income Fund for the purpose of mitigating the impact of the updated Medic-
9 aid forecast on the General Fund, there shall be no expectation of Medicaid
10 claim payments becoming a recurring expenditure of the Idaho Millennium In-
11 come Fund.

12 (2) Any remaining, unused moneys at the end of the fiscal year shall be
13 returned to the Idaho Millennium Income Fund.

14 SECTION 11. DEPARTMENT OF JUVENILE CORRECTIONS FOR STATEWIDE TRAINING
15 AND COORDINATION OF SCHOOL RESOURCE OFFICERS. In addition to any other ap-
16 propriation provided by law, there is hereby appropriated to the Department
17 of Juvenile Corrections for the Community, Operations, and Program Services
18 Program \$30,000 from the Idaho Millennium Income Fund to be expended for
19 operating expenditures for the period July 1, 2026, through June 30, 2027.
20 Funds are appropriated to provide for statewide training and coordination
21 for school resource officers.

22 SECTION 12. CONDITIONS, LIMITATIONS, AND RESTRICTIONS. Appropriations
23 made pursuant to this act are subject to the conditions, limitations, and re-
24 strictions specified in this act.

25 SECTION 13. An emergency existing therefor, which emergency is hereby
26 declared to exist, this act shall be in full force and effect on and after
27 July 1, 2026.